

COMMERCIAL LEASE AGREEMENT

Dated: 20 February 2026

Landlord	Peter Hargreaves	Tenant	Compass Coffee Ltd
Premises	88A Quay Road, ground floor, 132 m ²	Term	5 years

Clause 1 - Rent

- 1.1. The monthly rent is GBP 68,000.00, payable within the first five days of each month to the landlord's bank account.
- 1.2. Rent is increased each year by the rate of inflation for the preceding twelve months. The increase applied is in no case less than 30%.
- 1.3. Where the tenant fails to pay one month's rent, the whole of the annual rent falls due and may be enforced.
- 1.4. Late payment attracts interest at 6% per month.

Clause 2 - Deposit

- 2.1. On signature the tenant pays a deposit of three months' rent, being GBP 204,000.00.
- 2.2. The deposit is returned within 60 days of vacating, subject to the premises being handed back complete and undamaged, all utility accounts being settled and the landlord's written approval.
- 2.3. No interest is paid on the deposit.

Clause 3 - Outgoings

- 3.1. Electricity, water, gas, internet and service charges are borne by the tenant.
- 3.2. Half of the building's common area maintenance and repair costs are borne by the tenant.
- 3.3. Property tax and building insurance are borne by the landlord.
- 3.4. The cost of alterations and fit-out is borne by the tenant, who may not claim reimbursement on vacating; fixed installations are left to the landlord.

Clause 4 - Use

- 4.1. The premises may be used only as a coffee shop and for food and beverage service. Any change of use requires the landlord's written consent.
- 4.2. The tenant may not assign the lease or sublet.
- 4.3. Licences, permits and local authority formalities are the tenant's responsibility. Failure to obtain a licence does not entitle the tenant to terminate or to recover sums paid.

Clause 5 - Term and Vacating

Sample document · fictional parties and amounts

5.1. The term is five years. Where the tenant terminates early it remains liable for the whole of the rent for the remaining term.

5.2. The tenant must give at least three months' written notice before vacating.

5.3. At the end of the term the lease extends by one year unless either party gives notice to the contrary.

5.4. On vacating the premises are returned in the condition in which they were taken, decorated and cleaned.

Clause 6 - General

6.1. The tenant must insure the premises and name the landlord as loss payee on the policy.

6.2. The courts of Bristol have jurisdiction.

Landlord

Tenant

Peter Hargreaves

Compass Coffee Ltd